

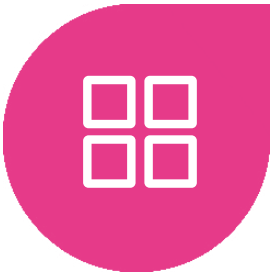
Digital Value of Fans 2022



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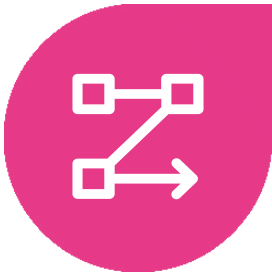
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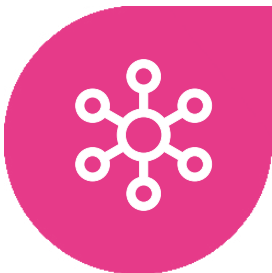
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FOREWORD & EXECUTIVE SUMMARY

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FOREWORD

Digital in sports is big business.

The accumulation and monetization of digital audiences by the world's biggest sporting properties is a multi-billion dollar industry and one that is increasingly defining the commercial strategies of sports teams and leagues globally.

Whether as part of an international growth strategy, sponsorship package or, as we are seeing more and more, a standalone digital opportunity, digital audiences provide significant revenue potential for sports to tap into. They do so because elite sports audiences are global and highly engaged – the average engagement levels of sports content across Facebook, Instagram and Twitter is a whopping 2500% greater than the engagement levels for standard content – and as a result more and more brands are turning to sports.

Against this background, we have produced The Digital Value of Fans 2022. This report used data to dissect the value proposition across the digital landscape in sports focusing on four key questions:

Firstly, which leagues and teams have the most valuable digital audience? This is of course dominated by sports heavy hitters, but it is important to understand the hierarchy amongst the elite teams and leagues.

Secondly, which are the most efficient at generating value on a per fan basis? This metric is perhaps a fairer measure of digital performance as it does so in relation to audience size, creating a more level playing field to analyse.

What are the drivers of value and how does the mix between activity volume and performance affect value generation?

Finally, we look at the channel perspective to understand the share of audience and value each represent.

I hope you enjoy!



Luis Viveiros
Head of Strategy
Horizm



EXECUTIVE SUMMARY

Premier League leads multi-billion Euro industry

Of the world's biggest sporting leagues, the Premier League generated the most digital value – €613m across Facebook, Instagram, Twitter, TikTok and YouTube over 12 months, more than second (LaLiga) and third place (NBA) combined.

Combined, the 11 leagues in this study, all with a following over 100m, generated €2.2bn in digital value. Europe's "Big 5" football leagues accounted for just over 50% of the total. The top US leagues accounted for 30%.

In terms of value per fan, our metric which shows the ability of teams and leagues to create value on a per capita basis, NHL leads the way with a value per fan of €1.10 just ahead of the Indian Premier League (€1.07) and the NFL (€0.96)

Spanish giants are the most popular "global brands", but Man Utd the most valuable

Our study of sports' "global brands" – teams with a combined digital audience of 20m or more show – shows that Spanish giants Real Madrid and Barcelona have the biggest digital followings by some way, almost 100m more than third placed Manchester United. United however were the top performer in generating value, creating over €200m in just 12 months, no doubt boosted by their re-signing of Cristiano Ronaldo, the world's most followed person in Instagram.

PSG experienced the "Messi Effect" with the biggest audience growth year on year, adding 28.7m fans in 2021. This is compared to 22.4m added by Manchester United in the same period. Leading Formula 1 (F1) teams all experienced an uplift in digital following building on the success of Netflix's Drive to Survive series and the impact of one of the most compelling seasons in the sport's history.

When it comes to efficiency in generating value Indian Premier League (IPL) and F1 perform the best with Royal Challengers Bangalore topping the value per fan ranking, one of four IPL teams in the top 10. Mercedes was 3rd and Red Bull Racing 6th.

US "Elite Teams" standout

When looking at "elite teams" – those with an audience between 2m – 20m – US franchises lead the category in terms of efficiency making up 18 of the value per fan top 20 – Leeds United and Athletic Club the only non US teams. Tampa Bay Buccaneers (NFL) were the most efficient, ahead of Atlanta Braves (MLB) and the Buffalo Bills (NFL), whereas LaLiga sides Athletic Club and Real Sociedad were the most prolific in terms of posting.

MLB sides dominate in terms of performance per post, accounting for 15 of the top 20. Formula 1 teams perform well, accounting for 4 of the 5 remaining places. Leeds United were the only non MLB or F1 team in the top 20.

Twitter packs a punch, TikTok shows potential

Of the €2.2bn that was generated across all 11 competitions, Twitter proved the most valuable channel accounting for 36% of the total value, ahead of Instagram and Facebook. This was achieved despite providing only 17.5% of the audience share – Facebook provides the biggest share of sports audience with 40.8%.

With over 1bn people using the platform each month, improved options for commercialization and high levels of engagement, TikTok is a digital opportunity that sport can exploit. Of all the world's top leagues only NFL has 100% of its teams on the channel. PSG have the biggest following and created the most value but McLaren and Manchester United were the most efficient.



APPROACH & METHODOLOGY

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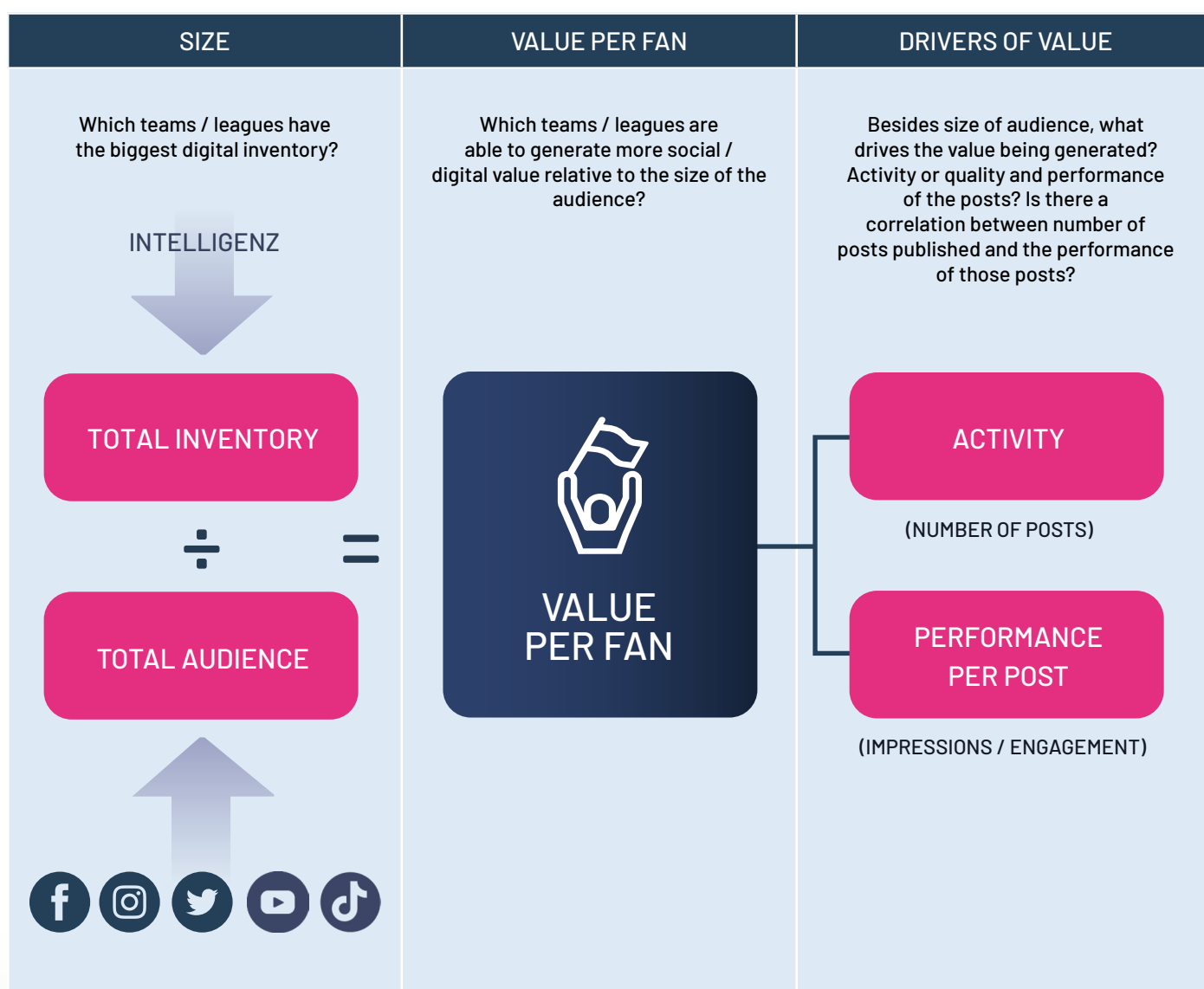
APPROACH & METHODOLOGY

At Horizm, we are focused on helping the sports industry unlock the opportunities presented to them by their digital audiences. Our purpose is to help rights holders better understand the potential of the content they share on social media, and the value it creates, both for them and their partners, through the reach and engagement it generates.

With that in mind, we created Intelligenz, our benchmarking solution that uses AI to project digital performance based on publicly available data, enabling sports rights holders to compare their key metrics with the most relevant set of competitors.

In this report we have used Intelligenz to compare performance over 12 months, looking at audience size, value per fan and the primary drivers of value – activity levels and post performance – from the world's leading sports leagues and teams. For this report, we have focused all analysis on Facebook, Instagram, Twitter, YouTube and TikTok during 2021.

Below we outline our approach to these different areas:





LEAGUES

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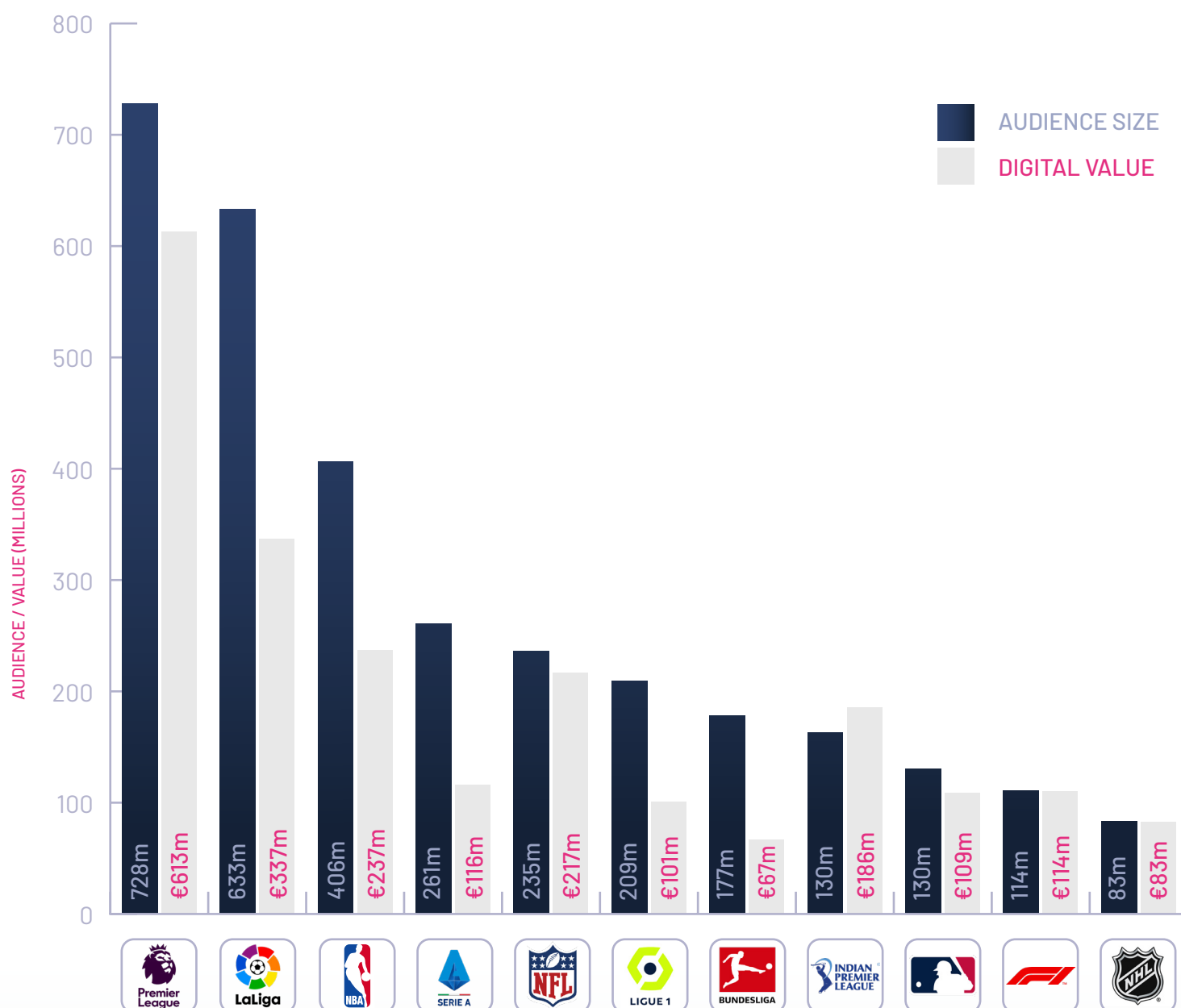
LEAGUES

AUDIENCE SIZE & VALUE

The Premier League dominates the digital landscape in terms of sports leagues with the English football competition boasting a total digital audience of 728m across Facebook, Instagram, Twitter, TikTok and YouTube in 2021, ahead of LaLiga with 633m and NBA with 406m.

The Premier League also leads the way in terms of value generated with more than €613m created which is more than second place LaLiga (€337m) and third placed NBA (€237m) combined.

European football's "Big 5" leagues account for over the half the value generated - €1.2bn - compared with €646m from the US leagues.



LEAGUES

VALUE PER FAN

Audience size is obviously a big factor in the ability to create digital value, with the biggest teams by audience size largely creating the most value. However, value per fan paints a different picture. This important metric highlights efficiency and effectiveness by measuring the ability of a league or team to generate value from its digital audience on a per capita basis.

Our analysis of value per fan - calculated as inventory value divided by audience size - of the world's top sporting leagues, based on the average value of their member teams, shows that NHL is the most efficient at generating value from its social audience, with a value per fan of €1.10 just ahead of the Indian Premier League (€1.07) and the NFL (€0.96).

RANK	LEAGUE		VALUE PER FAN
1		NHL	€1.10
2		IPL	€1.07
3		NFL	€0.96
4		Formula One	€0.88
5		La Liga	€0.85
6		MLB	€0.84
7		Premier League	€0.76
8		Bundesliga	€0.68
9		Ligue 1	€0.66
10		NBA	€0.63
11		Serie A	€0.63

LEAGUES

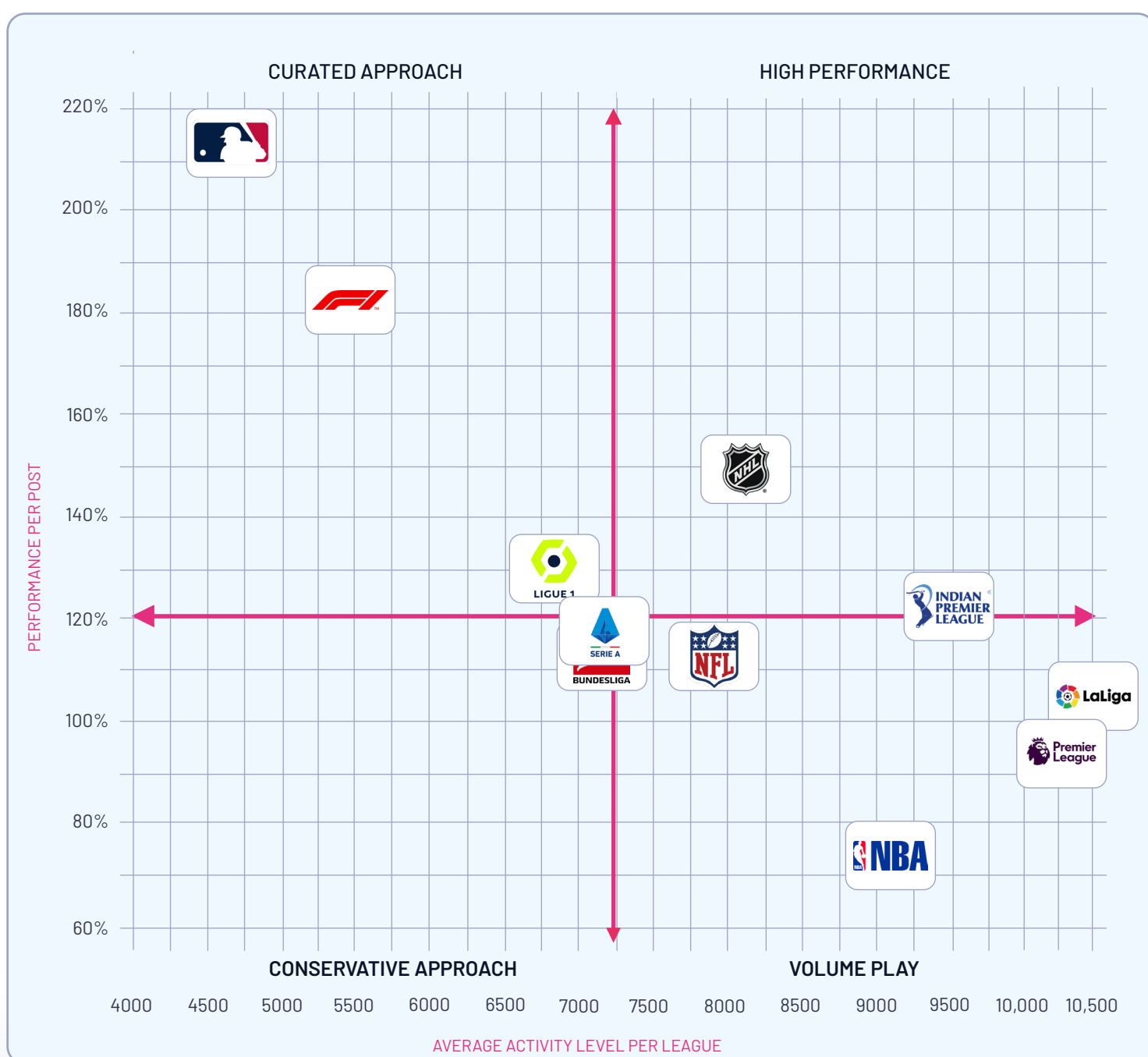
ACTIVITY v PERFORMANCE

There are two key success factors driving the ability of a team or league to generate value per fan:

Activity level – the number of posts published in the given period. For leagues this is the average per team.

Performance per post – a quality index that combines engagement rate and impressions rate to determine the average performance of a post based on the relative size of the audience.

Our analysis shows that, at a league level, there is an inverse correlation between volume and performance per post – the more the leagues post, the less their performance per post. The Premier League, LaLiga and the IPL recorded the highest volumes while MLB and F1 showed the highest levels of performance per post.





TEAMS

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ELITE TEAMS & GLOBAL BRANDS

Social media represents an increasingly valuable commercial opportunity for sports teams at all levels, but it is important to recognise that the characteristics of fanbases, and their potential for generating value, differ depending on the size of the team's following.

At the top end of the scale, you have a select group of sports franchises who, through periods of historic success and investment, have been able to build up large global audiences that behave differently from the more domestically-centred followings of smaller teams, making any direct comparison difficult.

For this reason, it is important to ensure that any analysis compares sports team with similar characteristics and to do this we have focused our evaluation on two categories of teams:

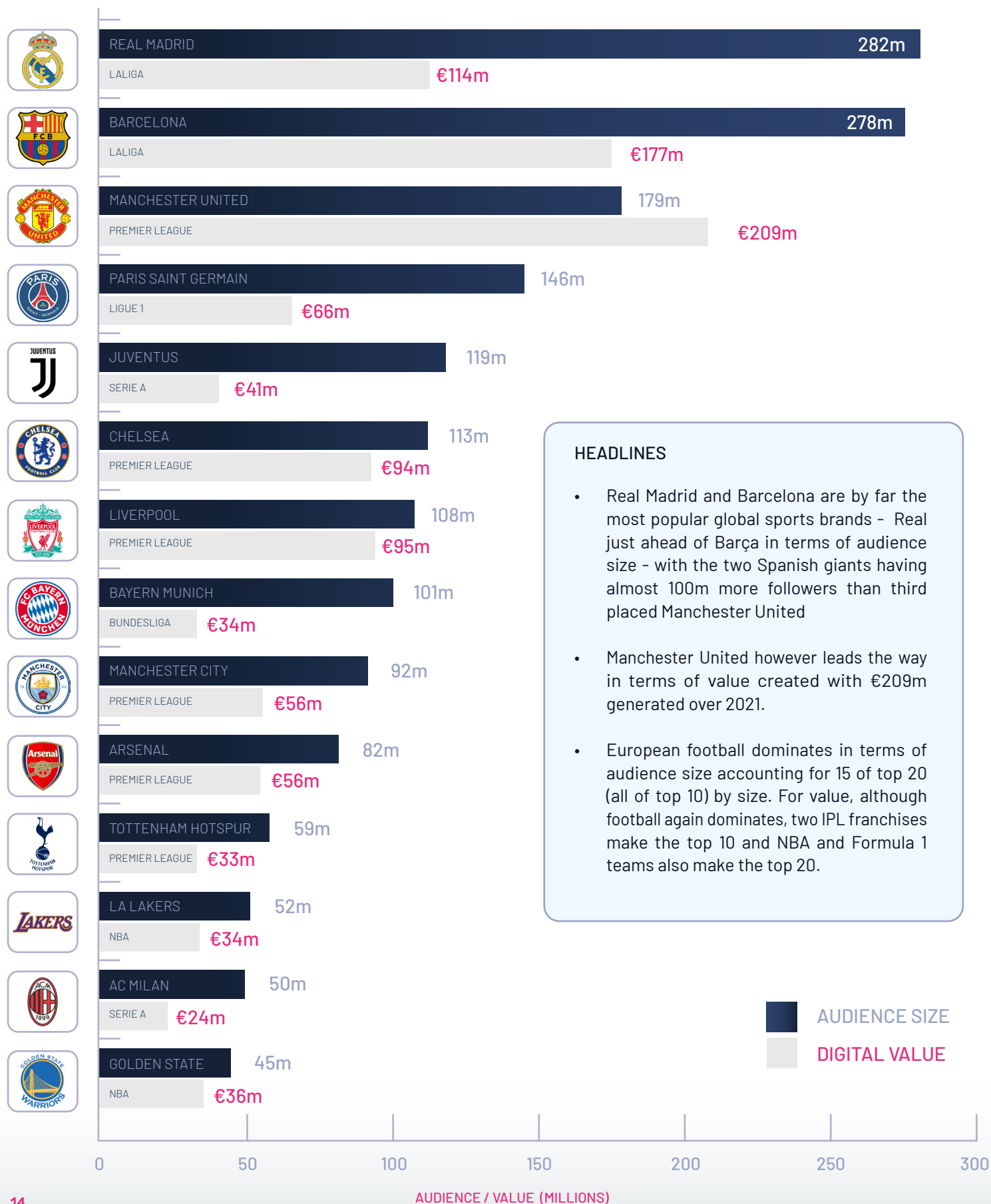
- **Elite Teams** – team who have a combined following across Facebook, Instagram and Twitter of between 2m and 20m.
- **Global Brands** – the biggest teams in sport who boast a combined social following across these primary channels in excess of 20m.

The Global Sports Brands Category, which we begin this section with, comprises 28 teams from Europe's biggest football teams, NBA's leading franchises, the Indian Premier League and Formula 1. The Elite Teams category is made up of a much broader spread of sports and leagues.



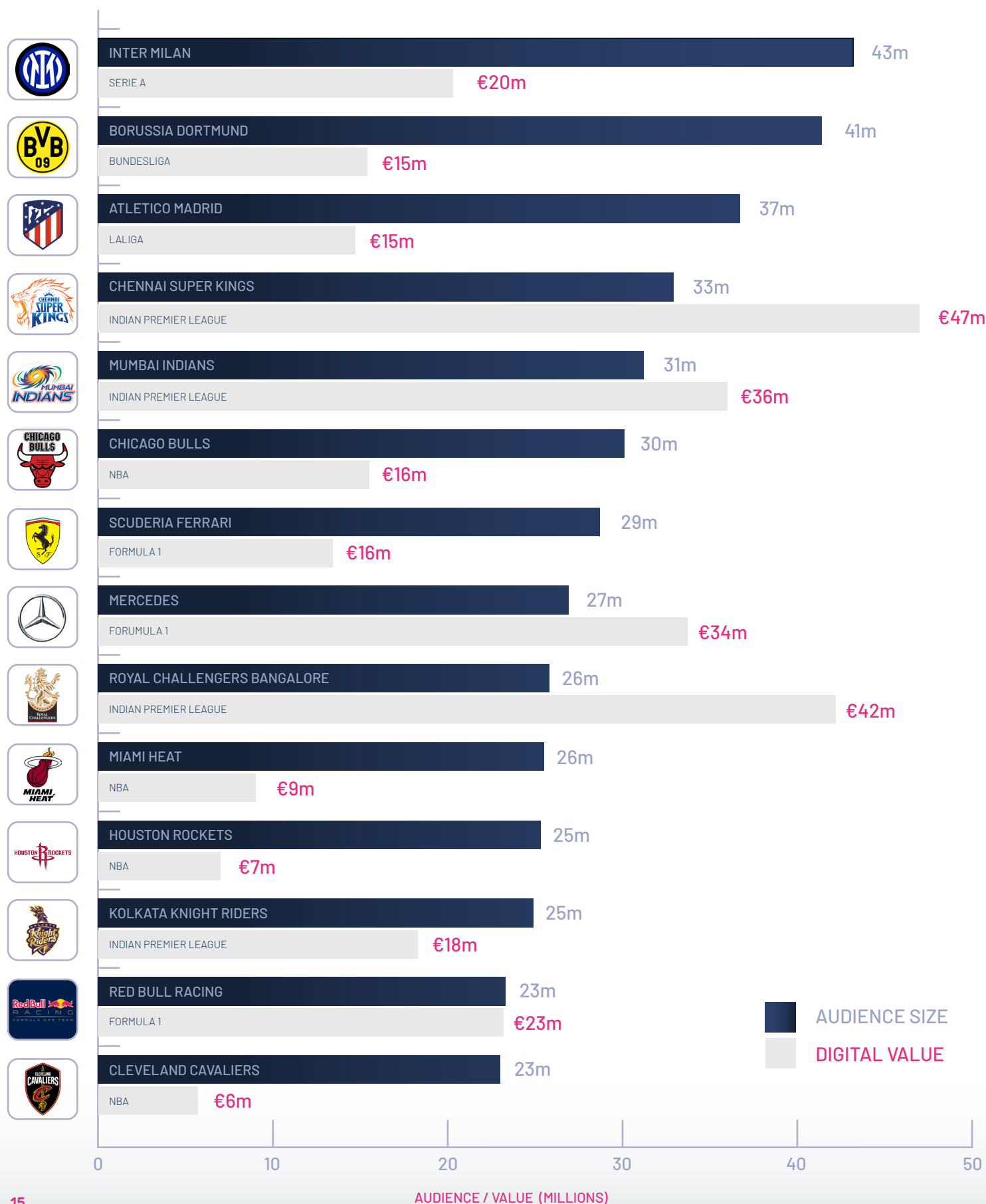
GLOBAL BRANDS

AUDIENCE SIZE & VALUE - 1-14



GLOBAL BRANDS

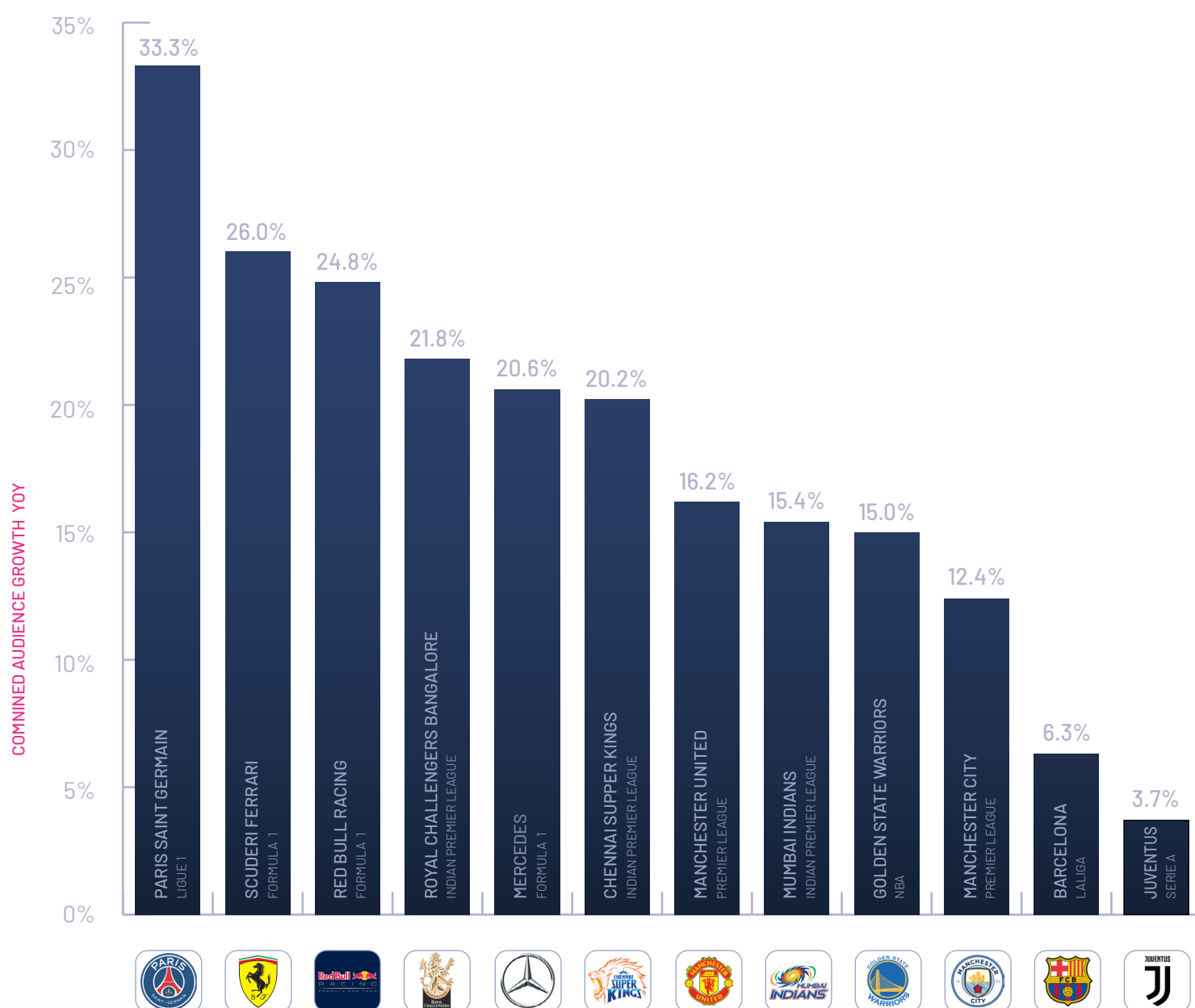
AUDIENCE SIZE & VALUE - 15-28



GLOBAL BRANDS

AUDIENCE GROWTH YOY

Of all the "global brands", Paris Saint Germain exhibited the highest percentage of year on year (YOY) audience growth (33.3%) across 2021, undoubtedly fuelled by their acquisition of Argentine football legend, Lionel Messi from Barcelona (in comparison Barca's audience only grew by 6.3%). The leading Formula 1 teams all exhibited high levels of YOY audience growth, driven in part by the dramatic narrative of the 2021 season but also due to the rising interest in the sport on the back of Netflix's Drive to Survive series. The top IPL teams also showed impressive audience growth YOY - in particular, Royal Challengers Bangalore, the team of Indian superstar batsmen Virat Kohli.



GLOBAL BRANDS

VALUE PER FAN

Indian Premier League sides lead the way in terms of value per fan (VPF) in the Global Brands category, accounting for three of the top five places including the top two – Royal Challengers Bangalore with a VPF of €1.64 and Chennai Super Kings with €1.43. The two main protagonists in Formula 1's dramatic 2021 season, Mercedes and Red Bull Racing, also performed well with VPFs of €1.26 and €1.00 respectively. Premier Leagues sides Manchester United, Chelsea and Liverpool made the top 10 – the only football teams to do so.

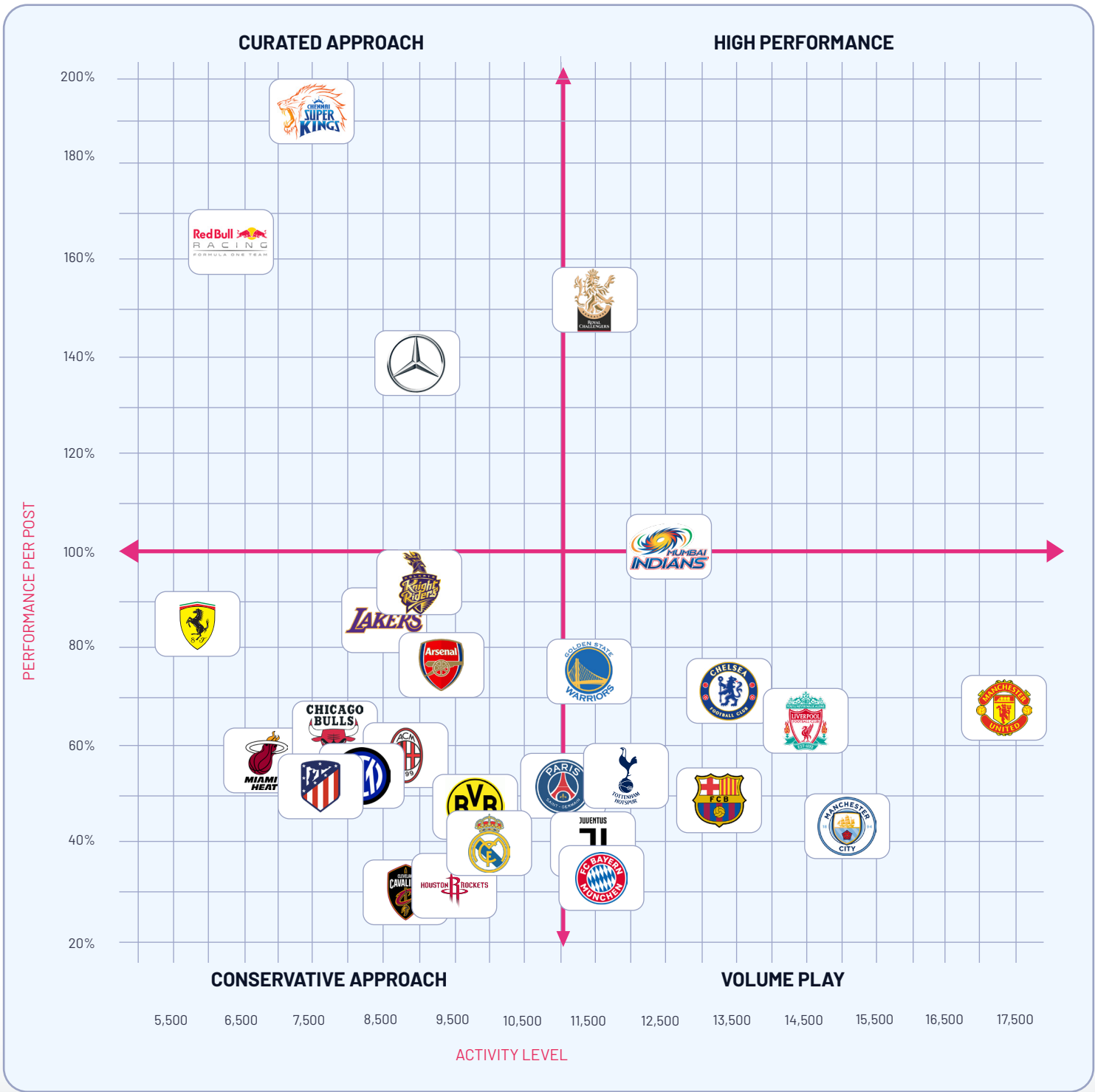
RANK	TEAMS - 1-10		VPF
1		Royal Challengers Bangalore	€1.64
2		Chennai Super Kings	€1.43
3		Mercedes	€1.26
4		Manchester United	€1.16
5		Mumbai Indians	€1.15
6		Red Bull Racing	€1.00
7		Liverpool	€0.87
8		Chelsea	€0.83
9		Golden State Warriors	€0.80
10		Kolkata Knight Riders	€0.74

RANK	TEAMS 11-20		VPF
11		Arsenal	€0.68
12		Los Angeles Lakers	€0.65
13		Barcelona	€0.64
14		Manchester City	€0.61
15		Tottenham Hotspur	€0.57
16		Chicago Bulls	€0.51
17		AC Milan	€0.47
18		Inter Milan	€0.47
19		Ferrari	€0.47
20		Paris Saint-Germain	€0.45

GLOBAL BRANDS

ACTIVITY v PERFORMANCE

When looking at activity levels of the teams in our global brands category against their performance per post we can see that while there are big gaps between the outliers at the top and bottom of each metric, the bulk of teams are clustered between post volumes of 7,000 to 14,000 and performance per post score of 30% to 90%. IPL and Formula 1 teams are the outliers in terms of performance per post, whereas the Premier League's two Manchester based sides – United & City – lead the way in terms of activity levels. At a Global brands level, there appears to be no correlation between post volumes and performance.



ELITE TEAMS

VALUE PER FAN

North American teams dominate the elite teams value per fan (VPF) rankings accounting for 18 of the top 20 places. Two football teams – Premier League's Leeds United and LaLiga's Athletic Club – prevent the clean sweep. In terms of the US Leagues, NFL provides seven teams NHL and MLB five each and one for NBA. All of the top 20 teams achieved a VPF of over €1.00.

RANK	TEAMS - 1-10		VPF
1		Tampa Bay Buccaneers	€1.89
2		Atlanta Braves	€ 1.60
3		Buffalo Bills	€1.58
4		Leeds United	€1.52
5		Washington Capitals	€1.51
6		Houston Astros	€1.47
7		Milwaukee Bucks	€1.43
8		Tampa Bay Lightning	€1.42
9		Colorado Avalanche	€1.39
10		Los Angeles Dodgers	€1.37

RANK	TEAMS 11-20		VPF
11		Green Bay Packers	€1.36
12		Saint Louis Blues	€1.35
13		Baltimore Ravens	€1.31
14		Athletic Club	€1.29
15		Edmonton Oilers	€1.24
16		Milwaukee Brewers	€1.22
17		Tennessee Titans	€1.22
18		Arizona Cardinals	€1.21
19		Los Angeles Rams	€1.18
20		San Diego Padres	€1.17

ELITE TEAMS

ACTIVITY

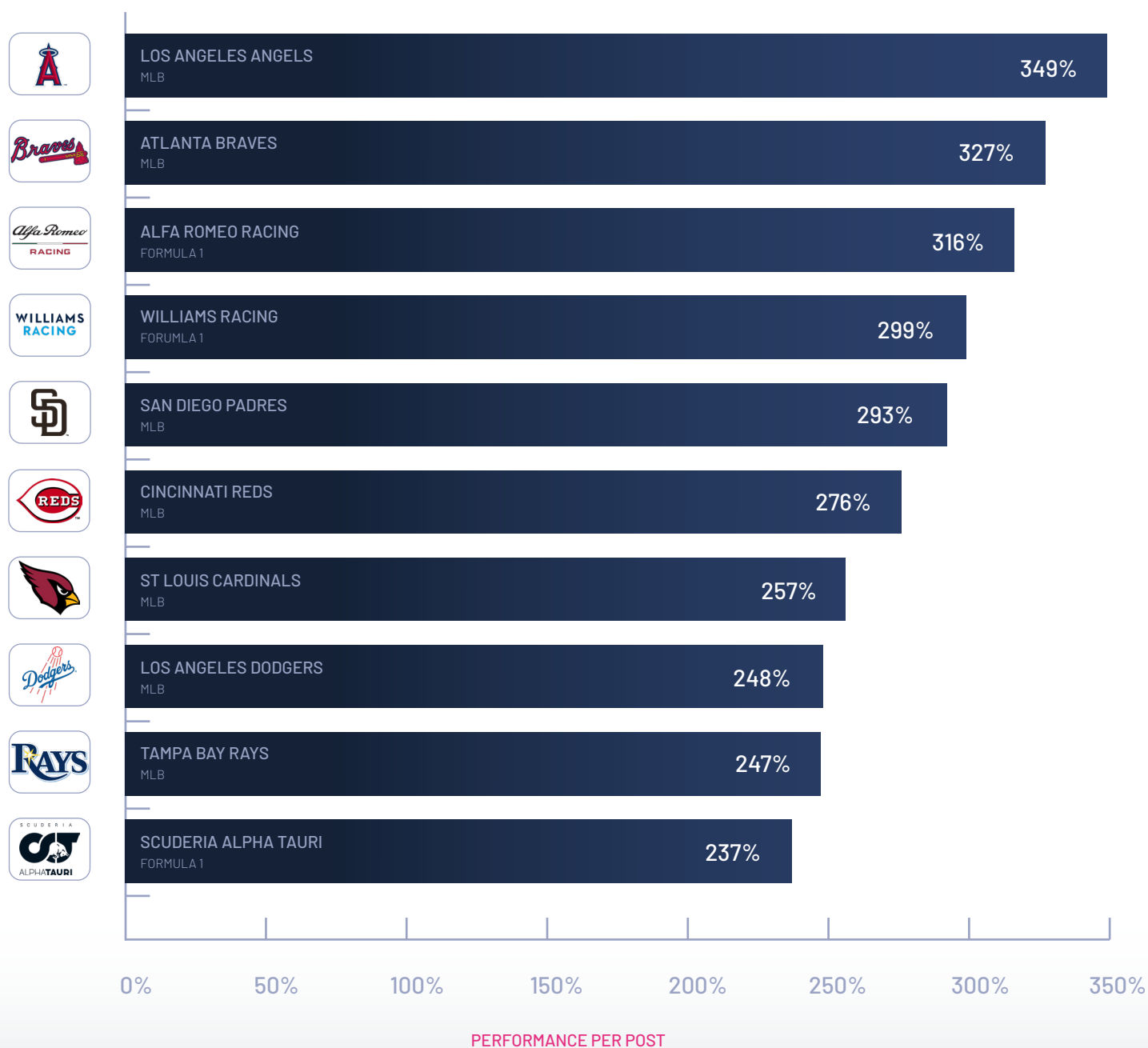
Of all the Elite Teams analysed, Athletic Club were the most active posters of content across Facebook, Instagram, Twitter, TikTok and YouTube combined with the LaLiga side sharing 13,827 posts across 2021. The top 10 by activity volume gives us a broad mix of leagues with LaLiga providing the most with three teams. The high ranking of Delhi Capitals in terms of activity, without having TikTok and inspite of the IPL only lasting two months shows that it is possible for teams to post regularly and generate value outside of match days.



ELITE TEAMS

PERFORMANCE

In terms of performance per post - our quality index that combines engagement rate and impressions rate to determine post performance relative to the size of audience - the top 10 is made up entirely of MLB and Formula 1 teams. MLB is way out in front making up seven of the top 10. Los Angeles Angels achieved the highest performance per post with a quality index score of 349%. Atlanta Braves were second with 327% and Formula 1's Alfa Romeo third with a score of 316%.





CHANNELS

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CHANNELS

SHARE OF VALUE & AUDIENCE

Across the 11 major sporting leagues, more than €2.1bn was generated with Twitter proving the most valuable channel, accounting for 36% of the total ahead of Instagram with 34.1% and Facebook with 27.5%. YouTube and TikTok together accounted for just 2.3%

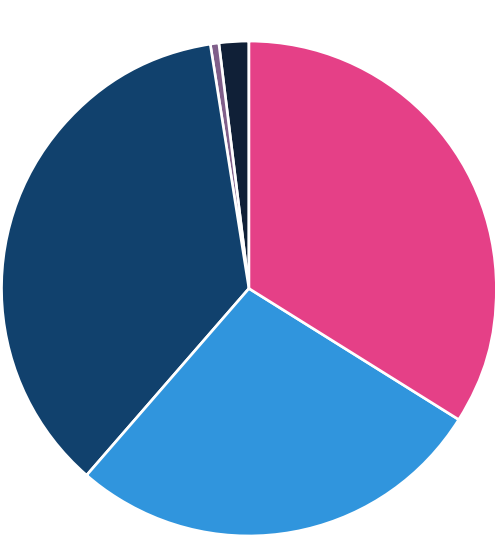
In terms of audience share, Facebook had the biggest with 40.8% ahead of Instagram with 31.5% and Twitter with 17.5%.

It should be noted that TikTok share of audience and value is impacted by ongoing restrictions with the channel in India.

COMBINED VALUE

€2.2bn

SHARE OF VALUE



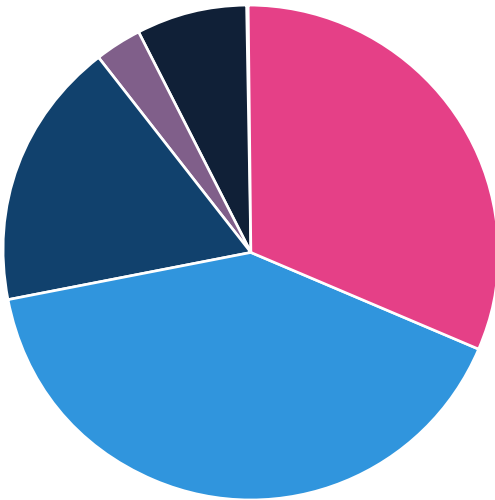
COMBINED AUDIENCE

3.1bn

SHARE OF AUDIENCE



34.1%	Instagram	31.6%
27.5%	Facebook	40.6%
36.0%	Twitter	17.6%
0.5%	YouTube	3.0%
1.8%	TikTok	7.3%

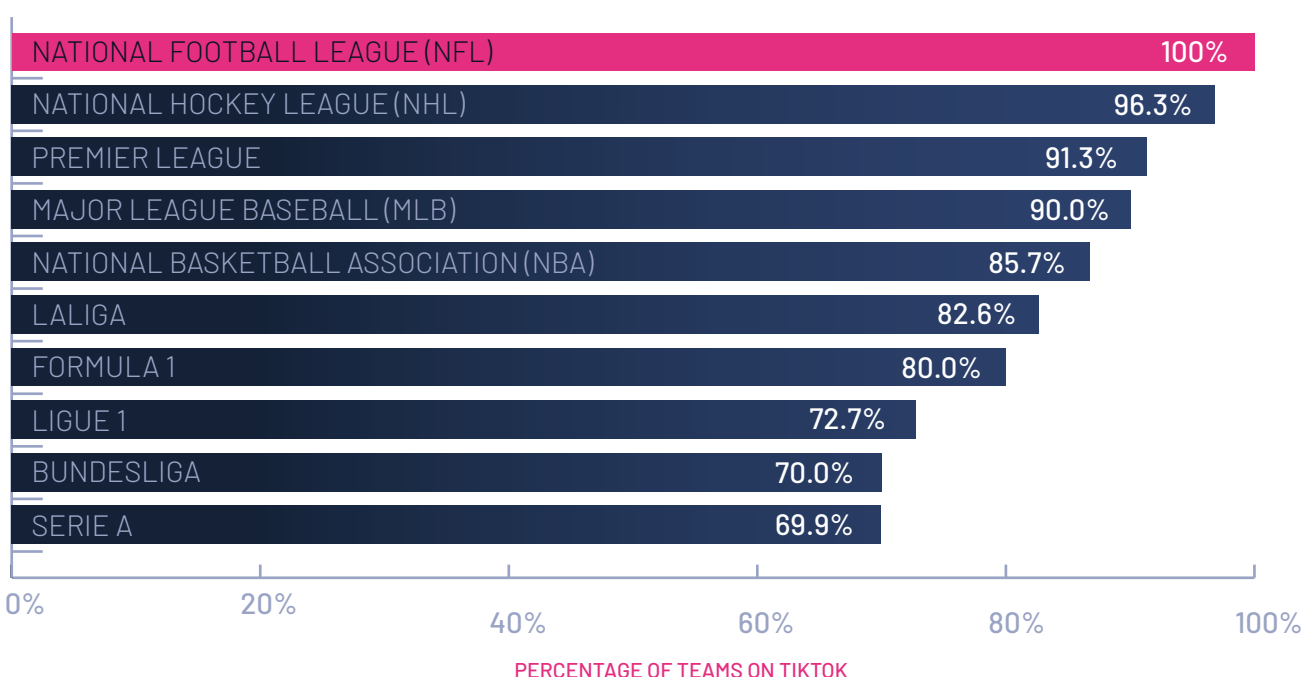


CHANNELS

IN FOCUS: TIKTOK

As the relative new kid on the block, TikTok has nothing like the share of audience or value amongst the world's biggest sports teams and leagues, compared with established channels like Instagram and Twitter. However, the channel has exhibited huge growth in recent years – over 1bn people now use the platform each month – and with the characteristics of high engagement/impression levels and a youthful demographic, TikTok represents a big opportunity for sports leagues to exploit.

Our analysis shows that of all the major leagues only NFL has 100% of its teams on TikTok. At a team level, Paris Saint Germain lead the way both in terms of audience size and value created on TikTok. In terms of value per fan, F1's McLaren is fractionally ahead of Manchester United with both achieving a VPF of €0.37.



AUDIENCE		
#	TEAM	FANS
1	Paris Saint-Germain	25.0m
2	Tottenham Hotspur	14.0m
3	Barcelona	13.8m
4	Manchester United	13.0m
5	Real Madrid	11.2m

TOTAL VALUE		
#	TEAM	VALUE
1	Paris Saint-Germain	5.6m
2	Manchester United	4.8m
3	Real Madrid	2.2m
4	Barcelona	2.0m
5	Manchester City	1.8m

VALUE PER FAN*		
#	TEAM	VPF
1	McLaren	0.37
2	Manchester United	0.37
3	Mercedes	0.34
4	Olympique Lyonnais	0.31
5	Detroit Lions	0.31

*Value per fan ranking is based on teams with a TikTok audience of 1m or more



CONCLUSIONS

CONCLUSIONS

At a time when much of the sports industry is future-gazing towards the Metaverse and Web 3, many are ignoring the possibilities afforded to them now by the evolution of social media. Over the past decade, against a backdrop of improved connectivity and mobile technology – and latterly accelerated by the impact of COVID – established social channels have grown, younger channels blossomed, and newcomers have emerged to provide a diverse and wide reaching network of audience engagement. This network has allowed sports teams, athletes and even fans to become channels in their own right building, huge audiences through the content they share.

This report offers some interesting insights into what causes audience growth in sports. Player power undoubtedly has a huge impact, especially on more personality/influencer orientated channels like Instagram and TikTok. Paris Saint Germain gained the most fans in the past year on the back of signing Messi, ahead of Manchester United who signed Ronaldo. Former LeBron James teams, the Cleveland Cavaliers and the Miami Heat both make our Global Brands category ahead of much more historically successful NBA Franchises. The IPL team captained by Indian cricket legend, Virat Kohli posted the 4th highest percentage of YOY growth in the year he announced he was stepping down as Test Captain.

Sport's ability to create compelling narratives has driven a rise in sports focused documentaries and these in turn have created new digital fans. Amazon's All or Nothing series has cast the spotlight on various NFL franchises and more recently on Manchester City and Spurs, but the big winner has been Formula 1 riding the success of Netflix's Drive to Survive series – F1's leading teams all featured in the top five for audience growth last year.

Elite sport can now offer a global audience, one that has clear passion points and an emotional engagement that brands can leverage on a regional basis to achieve specific marketing aims. It is precisely this level of scale, flexibility and hyper engagement that has made the digital audiences of sport the multi-billion euro opportunity that it is today. This opportunity exists at all levels of competition within this report and many more beyond – brands can use anyone from Barcelona to Boreham Wood to target their customers – and so understanding a rights holder's ability to generate value relative to their audience size is an important measure of success. Our value per fan metric shows that the IPL and F1 perform very well both at a league level and in terms of their top franchises. With much of the IPL's following centred in the sub-continent, the planned introduction of T20 cricket into the US could see the popularity of the game – and with it the audience of the sport's premier competition – expand even further.

The mass appeal of football will continue to make it many brands go-to option, and our report shows that the Premier League and its top teams perform very well across the board in terms of audience size, value and ability to generate value per fan. This ability to deliver targeted engagement at scale is a huge commercial asset, one that teams like Chelsea and Arsenal have been able to maximise through short term, digital specific partnerships. This digital-centric approach is something which can be complementary to longer term, more traditional sponsorships and which can open rights holders up to a greater array of potential partners and with it unlock the full revenue capacity of their digital audience.



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Digital Audiences Unlocked

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